Brazil Macro Monthly

Activity takes center stage in the US and in Brazil

- The risk of recession in the US has increased and the US dollar has depreciated significantly this year (especially after "Liberation Day"). While acknowledging the significant uncertainty, we assume for now that commodity prices and the DXY (US dollar index) will recover a bit in coming weeks, and that the Fed will stay put in the short term. But the probability of stronger Latam currencies ahead, with positive consequences for inflation and monetary policy, has increased.
- In Brazil, the Income Tax reform has reached Congress, and the Executive branch expects to reverse the decline in popularity with recent measures. On the fiscal front, the government has committed to a surplus of 0.25% of GDP for 2026.
- We raised our GDP growth forecasts for 2025 (from 2.0% to 2.3%) and for 2026 (from 1.0% to 1.5%), owing chiefly to the resilience of the labor market and government stimulus measures. A possible recession in the US is a risk ahead.
- The 2025 budget presents relevant spending challenges and will likely require at least BRL 11.5 billion in expenditure blocks. For 2026, we expect the 0.25% of GDP primary balance target to be maintained, but this will require an additional revenue package.
- Global uncertainty makes forecasting currencies more challenging. For now, we keep our projection for the FX at 6.00 reais per dollar by the end of 2025.
- We reduced our forecast for industrialized goods inflation this year, following the strong performance of the BRL in Q1. On the other hand, we now consider higher electricity tariffs. In all, we kept our IPCA inflation forecast at 6.0%. For 2026, we raised our projection from 4.5% to 4.7%, in line with our higher expectation for GDP growth.
- Inflation expectations remain above the target even after significant monetary tightening. Thus, we continue to see the terminal Selic rate at 15.50%. If economic activity decelerates more than we anticipate, the Copom may do less than that, but it seems unlikely a terminal rate below 15.00%.

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XP Forecasts

	2018	2019	2020	2021	2022	2023	2024	2025 (F)	2026 (F)
GDP growth (%)	1.8	1.2	-3.3	4.8	3.0	3.2	3.4	2.3	1.5
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.3	7.6	6.5	7.0	7.5
IPCA (CPI, %)	3.8	4.3	4.5	10.1	5.8	4.6	4.8	6.0	4.7
SELIC rate (% p.a., end of period)	6.50	4.50	2.00	9.25	13.75	11.75	12.3	15.50	12.50
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.28	4.86	6.2	6.00	6.20
Central government primary balance (% GDP)	-1.7	-1.2	-9.8	-0.4	0.5	-2.4	-0.4	-0.6	-0.9
Primary balance for target calculation (% GDP)*	--	–	–	–	–	–	-0.1	-0.3	-0.6
Public sector primary balance (% GDP)	-1.5	-0.8	-9.2	0.7	1.2	-2.3	-0.4	-0.5	-0.8
Public sector nominal balance (% GDP)	7.0	5.8	13.3	4.3	4.6	8.8	8.5	9.3	8.5
General government gross debt (% GDP)	75.3	74.4	86.9	77.3	71.7	73.8	76.5	79.7	83.7
Net public sector debt (% GDP)	52.8	54.7	61.4	55.1	56.1	60.4	61.5	64.7	68.3
Trade Balance (USD Bn)	46.6	29.6	35.7	42.3	51.5	92.3	65.8	62.0	73.0
Exports (USD Bn)	231.9	225.8	210.7	284.0	340.2	343.8	339.9	350.0	363.0
Imports (USD Bn)	185.3	196.2	175.0	241.7	288.7	251.5	274.0	288.0	290.0
Current Account (USD Bn)	-54.8	-65.0	-24.9	-40.4	-42.2	-27.9	-61.2	-70.1	-54.0
Current Account (% GDP)	-2.9	-3.5	-1.7	-2.4	-2.2	-1.3	-2.8	-3.2	-2.4
FDI (USD Bn)	78.2	69.2	38.3	46.4	74.6	62.4	71.1	60.0	57.0
FDI (% GDP)	4.1	3.7	2.6	2.8	3.8	2.9	3.2	2.7	2.6
Nominal GDP (USD Bn)	1915.00	1,873	1,475	1,670	1,951	2,190	2,178	2,185	2,210
Nominal GDP (BRL Bn)	7004.00	7,389	7,610	9,012	10,080	10,943	11,745	12,675	13,470

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

Foreword – Activity takes center stage. Here, there, and everywhere

Those able to accurately predict economic activity in the coming months will most likely get market movements right.

Globally, the hottest debate is whether the ballooning political uncertainty arising from much higher tariffs announced in the US and geopolitical tensions will push the world economy into a recession. The effects of this scenario on the US dollar, commodity prices, and emerging market currencies are difficult to predict.

Activity in China is also key for EM and Brazil. The economy has been weakening since much before Trump's election. Chinese authorities introduced a significant amount of stimulus, but household consumption remains fragile. Trump's trade war could hit the only Chinese engine still running briskly: exports.

In Brazil, the pace of economic deceleration in response to tight monetary policy has been the most frequently asked question among market participants. The signs are mixed so far, although the economy is *definitely* softer than last year. Moreover, recent government measures on credit and tax exemptions could dilute the impact of high interest rates.

We stand on the more hawkish camp on that: we see the economy losing steam ahead, but still growing at around potential. Thus, the output gap should remain in the inflationary camp, demanding caution on monetary policy.

The Copom will most likely interrupt the tightening cycle with the Selic rate within the 15.00-15.50% interval. But, if we are right on growth, it won't be enough to bring inflation back to the target range in 2026.

After incorporating recent stimulus measures, we raised our GDP growth forecast for 2025 to 2.3% from 2.0%; and for 2026 to 1.5% from 1.0%. And we lifted our IPCA inflation forecast for 2026 – the current monetary policy relevant horizon – to 4.7% from 4.5%.

Global backdrop – How hard will uncertainty hit the global economy and EM asset prices?

Caio Megale

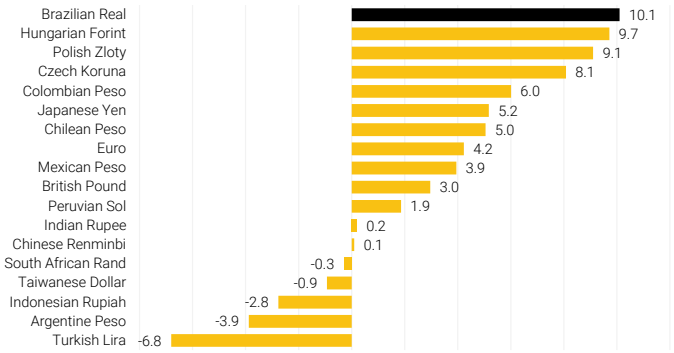
Higher uncertainty, cloudier outlook. Economic uncertainty has risen substantially under the US's new trade policies and geopolitical movements. President Trump's tariff increase was much more intense than expected. Under those circumstances, market analysts are divided between those who believe in a "soft patch" and those who state that a US - possibly global - recession is about to begin (or even has already started). The effects of each scenario on emerging markets vary since they have different implications on the dynamics of the US dollar, global interest rates, and commodity prices.

So far, so good… Trump's economic policies have made global investor shift their portfolio away from the US. Particularly because it may help the US economy to lose steam, and open room for the Fed to resume cutting rates. The US dollar depreciated considerably this year, particularly after the so-called "Liberation Day". Commodity prices had been moving sideways, sustaining roughly the same prices since mid-last year, despite the expectations of global economic deceleration – though they were hit by the tariff announcement this week.

… but will it last? If the more pessimistic view is proven right, the US could drag other economies to recession, spurring global risk aversion. In that scenario, the Fed would most likely cut rates more than what is currently priced in. But that may not prevent commodity and EM asset prices from taking a hit. It is still too soon to state that Latam currencies will not be affected by risk aversion in the coming months.

Considering the significant uncertainty ahead, we assume for now that commodity prices and the DXY (US dollar index) will recover a bit in the coming weeks and that the Fed will stay put in the short term. Thus, we did not change our YE BRL forecast of 6 reais per dollar (see below). But the probability of persistent stronger Latam currencies, with positive consequences for inflation and monetary policy, has increased.

Most currencies appreciated against the US dollar this year
YTD (%)



Source: BBG, XP

Uncertainties weigh on activity outlook
Corporate survey ISM - new orders

Source: BBG

Weaker US dollar boosted EM currencies this year. Will it cotinue ahead?
DXY Index

Source: BBG, XP

BRAZIL – Activity takes center stage in the US and in Brazil

Political environment – Government sending the income tax reform to Congress

Paulo Gama, Bianca Lima e João Paulo Machado

April begins with a focus on the programs presented by the government in the context of President Lula's falling popularity since the beginning of the year.

At the end of March, what has been considered the main bet of the Planalto Palace for the attempt to win the elections in 2026 arrived in Congress – the reform of the Income Tax, which aims to exempt those who earn up to BRL 5,000, with partial exemption in the range between BRL 5,000 and BRL 7,000. The compensation presented for the fiscal waiver was the imposition of a minimum effective tax rate on those with income above BRL 600,000 per year, with progressive taxation of up to 10% for those earning BRL 1.2 million or more per year. To this end, there will be a withholding tax of 10% on dividends, with a reduction linked to the effective tax already collected by the company. The government also proposed the exclusion of income from exempt securities from the amount on which the minimum effective tax rate is charged - but these investments will be considered in the previous stage, to determine the income and the respective tax rate to be charged.

The government has used its own polls to argue that there is massive popular support for the narrative of charging the richest to pay for the exemption for the poorest.

Although there is also support among congressmen for expanding the exemption threshold and it seems difficult for Congress to oppose the narrative of the proposal presented by the government, the time required to discuss the matter is not expected to be short. There is an understanding that the importance given to the text by the government creates a positive environment for negotiations, but there is also resistance from sectors that will now have higher taxes than they currently do. In this context, the expectation in Congress is that the processing of the text will continue throughout 2025.

The risk during this period is that the compensation suggested by the government will end up being relaxed and that, in its place, alternative sources will be presented – with less security about the potential for revenue collection. The economic team has been working to avoid an outcome in this direction. Attention may also be paid to sectors in which Congress could impose compensation if it softens the government's proposal to tax the richest.

At the same time, Lula's popularity ratings will remain in the spotlight. Even though the Income Tax reform, if approved, will only have concrete effects in 2026, the government expects that recent changes in the Planalto's communication and the overcoming of the noise surrounding the Pix – which was very strong at the beginning of the year – will pave the way for a recovery in the President's positive evaluation. As we wrote last month, the frustration of this expectation tends to reinforce the pressure in the direction of measures with the intention of reversing the negative trajectory for the government's approval.

Later this month, the government will discuss the primary surplus target to be submitted in the budget guidelines bill (LDO), which must be sent to Congress by April 15th. The government has already committed to a surplus of 0.25% of GDP for 2026 and, although pressure may arise for something less ambitious in an election year, the government still seems far from the level of stress needed to sponsor a change of course in this direction.

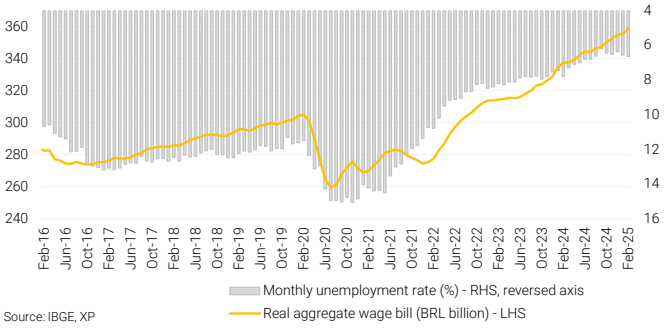
April will also focus on the continuation of the case against former President Jair Bolsonaro in the Supreme Court. The acceptance of the complaint at the end of March made him a defendant, and there is an expectation among some center-right parties that the progress of the case, combined with his condition of ineligibility, may make the former President consider the possibility of supporting an alternative name for the 2026 election. The former President remains in the polls as the main force of the opposition and has not publicly discussed giving up his candidacy.

Activity – Raising our GDP growth projections for 2025 and 2026

Rodolfo Margato

Slowdown trend amid signs of resilience in early 2025. Recent data and news suggest a mild slowdown in the Brazilian economy in the short term. Regarding activity indicators, increasing employment and income stands out. As reported by CAGED (Ministry of Labor's General Register of Employed and Unemployed), there was a net creation of nearly 400k formal jobs in the first two months of this year (seasonally adjusted figures), above expectations. Formal employment recorded in the PNAD (National Household Sample Survey) also grew significantly during the period, helping to keep the unemployment rate at around 6.5%, the lowest level in the data series that began in 2012. In this context, the aggregate wage bill remains on an upward path – the indicator presents a real gain of 7.5% in the last 12 months.

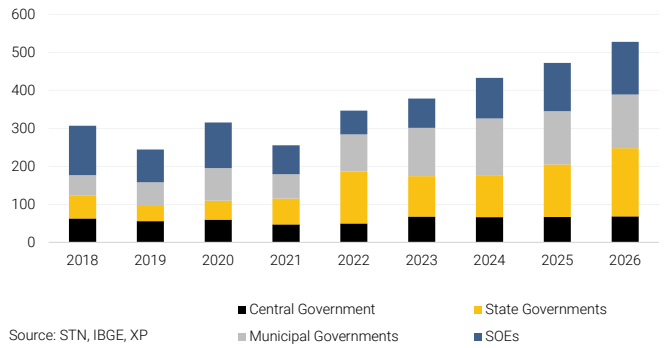
Robust labor market, with unemployment rate around 6.5% and continued expansion of aggregate income
Seasonally adjusted data



Source: IBGE, XP

Recently announced government measures should provide additional stimulus to demand. Government initiatives are likely to contribute to an even more gradual economic slowdown. Among them, we draw attention to (i) the release of FGTS (Workers' Severance Fund) resources for workers dismissed between Jan/20 and Feb/25, who had opted for the annual withdrawal option, totaling around BRL 12 million; (ii) additional resources for the MCMV ("Minha Casa Minha Vida") housing program, amounting to approximately BRL 18 billion; and (iii) new rules to expand payroll-deductible loans for private sector workers. Despite uncertainties about the magnitude and timing of its effects, the latter may represent an important stimulus to credit concessions – both through the replacement of more expensive credit lines (which would reduce household debt service), and through new operations directly targeting consumption. For more information, see our report Everything Everywhere All At Once?

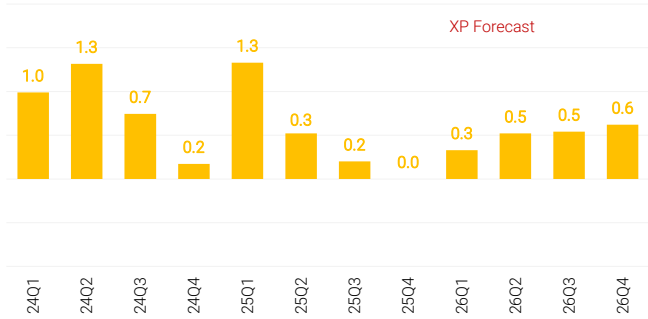
Public investment is expected to increase sharply in 2025 and 2026, driven especially by regional governments
BRL billion (at constant prices of 2026)



Source: STN, IBGE, XP

We raised our 2025 GDP growth forecast to 2.3% from 2.0%. We estimate that total GDP jumped 1.3% QoQ in 25Q1 (previously: 1.1% QoQ), on the back of a record grain harvest, especially soybeans. Excluding the contribution from agriculture, the increase would be 0.8% QoQ (previously: 0.6% QoQ). Given the strong performance of sectors less sensitive to the economic cycle, the resilience of the labor market, and the government measures listed above, we project that GDP will rise by 2.3% this year (previously: 2.0%).

GDP slowdown expected to be milder than initially anticipated
Total GDP. QoQ s.a. (%)



Source: IBGE, XP

For 2026 GDP growth, our expectation was lifted to 1.5% from 1.0%. This revision stemmed from the incorporation of i) the likely effects from the IRPF exemption for those who earn up to BRL 5,000 per month (see section on Fiscal Accounts); ii) the estimate of a higher statistical carryover effect from 2025 GDP; and iii) prospects for a significant increase in public investment, mainly from state governments. Still, we continue

to see moderate growth compared to this year, given the lagged effects of contractionary monetary policy.

Nonetheless, we recognize downside risks to our baseline scenario of a potential global recession following this week's announcement of much higher-than-expected tariffs.

XP Forecasts (%)

GDP Breakdown	2023	2024	2025	2026
Agriculture & Livestock	16.3	-3.2	6.5	3.0
Industry	1.7	3.3	2.1	1.2
Services	2.8	3.7	1.9	1.7
Total GDP	**3.2**	**3.4**	**2.3**	**1.5**
Household Consumption	3.2	4.8	2.0	1.4
Government Consumption	3.8	1.9	1.8	2.0
Gross Fixed Capital Formation	-3.0	7.3	3.8	1.6
Exports	8.9	2.9	3.3	2.2
Imports (-)	-1.2	14.7	4.2	2.5

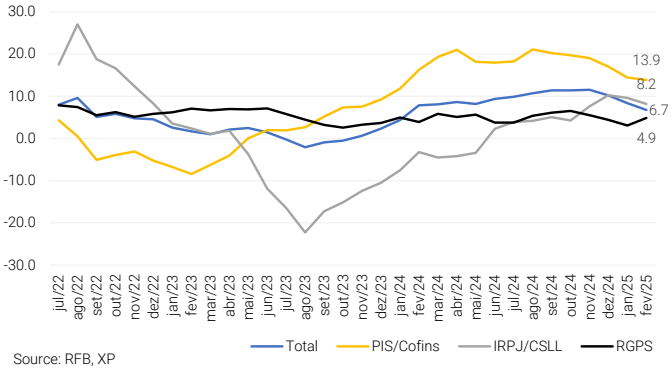
Source: IBGE, XP

Fiscal – Despite challenges, no expected change in the 2026 target

Tiago Sbardelotto

Revenues decelerate but remain at good level. Net revenue grew 3.1% in February, compared to 3.7% in January and 9.0% YoY. This deceleration was expected, considering the economic slowdown. In turn, expenditures increased by 3.3% in February (excluding court-ordered payments), spurred by higher pension and social assistance benefits. Overall, the primary balance for the first two months remains positive at BRL 53.2 billion, providing the government with some fiscal flexibility for the remainder of the year.

Revenue has been slowing down recently, although remains at high levels
Annualized moving average and 3-month seasonally adjusted (%)

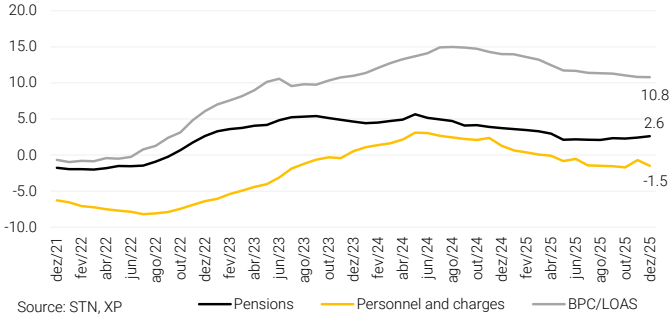


Source: RFB, XP

Government is likely to meet the 2025 target... We project a primary deficit of BRL 75.5 billion (0.6% of GDP), considering BRL 20 billion in expenditures not executed (the so-called *empoçamento*). Excluding court-ordered payments exceeding the constitutional limit, the projected result for compliance with the formal fiscal target improves to a deficit of BRL 35.8 billion (0.3% of GDP), just BRL 4.8 billion above the lower limit set for 2025 (a deficit of BRL 31.0 billion). Therefore, we maintain our view that a small additional effort—either through increased revenue or expenditure cuts —will be enough to reach the primary balance target for this year.

...But some discretionary spending cuts are still needed. We anticipate that spending with pension benefits (BRL 12.2 billion), BPC/LOAS assistance (BRL 10.1 billion), and Bolsa Família (BRL 5.0 billion) will exceed government projections. In turn, there should be some wiggle room in personnel expenses (-BRL 5.3 billion). Nonetheless, even after adjusting for the use of BRL 12.5 billion in additional credit due to the 2024 inflation differential, we still foresee the need for BRL 11.5 billion in spending blocks to comply with the expenditure limit this year.

Social security and welfare spending to grow above the limit in 2025
Change in primary expenditure over 12 months (%)



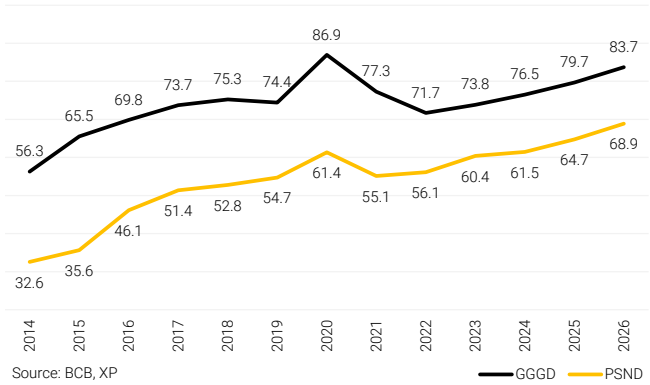
Source: STN, XP

Meeting the target in 2026 will be more challenging. On the one hand, net revenue is expected to grow at a slower rate (2.4%) due to declining inflation and weaker economic activity. On the other hand, real expenditures are projected to rise by 4.0%, driven by the inflation-indexed adjustment to the spending limit. As a result, we estimate a deficit of BRL 120.2 billion (0.9% of GDP) or BRL 76.1 billion (0.5% of GDP) when excluding court-ordered payments for target compliance purposes. Since the 2026 target is a surplus of BRL 33.9 billion (0.25% of GDP), an additional BRL 110.0 billion in revenue will be necessary to balance the budget.

Our baseline scenario assumes that proposed income tax changes will be approved with a neutral impact on fiscal results. The proposal includes a full tax exemption for those who earn up to BRL 5,000 and a partial exemption up to BRL 7,000 - offset by the introduction of minimum effective tax rates on incomes above BRL 600,000. In our view, this measure is fiscally balanced and should not affect next year's fiscal performance.

No discussion on changing the 2026 fiscal target. In April, the government should submit the 2026 Budget Guidelines Bill (PLDO, in Portuguese) to Congress, setting the primary balance target. We believe the government will maintain the current target due to the high cost of revising it, postponing discussions on revenue increases until the budget proposal is presented in August. As noted earlier, approximately BRL 110 billion in additional revenue will be required to meet the target in 2026. The government is likely to include another revenue package in the budget, similar to previous years. This highlights the absence of structural fiscal consolidation: budgets start unbalanced and rely on extraordinary revenues to meet targets because expenditure growth exceeds what is necessary for structural adjustment. As we have argued recently, breaking this cycle will require structural reforms and changes to the spending limit growth parameters.

Public debt continues to rise, in line with higher interest rates
General gov. gross debt and public sector net debt (% GDP)



Subnational finances: states expected to lead spending increases. We anticipate that states will expand spending—particularly investments—due to high cash availability, increased credit operations, and the electoral cycle (report). In contrast, municipalities are expected to implement significant fiscal adjustments in 2025 following two years of rising expenditures. Considering the broader public sector, we estimate a deficit of BRL 66.0 billion in 2025 (0.5% of GDP) and BRL 112.6 billion in 2026 (0.8% of GDP).

Public Debt-to-GDP ratio to remain on the rise. We expect the current composition of public debt, marked by a high proportion of floating-rate securities, to drive short term implicit costs upwards. Additionally, we do not foresee compensatory factors that could offset rising debt costs. Therefore, we maintain our assessment that the debt trajectory will remain on an upward path, with gross debt-to-GDP ratio (DBGG) reaching 79.7% in 2025 and 83.7% in 2026. Net public sector debt (DLSP) is projected to reach 64.7% of GDP by the end of this year and 68.9% by the end of 2026.

External Accounts – BRL continues to perform well, but risks remain

Luíza Pinese

Global uncertainty makes forecasting currencies more challenging. For now, we keep our projection for the FX at 6.00 reais per dollar by the end of 2025.

First, it is not clear the effects on the US dollar of a global recession. Trade war may spur global risk aversion and a run for assets like gold and the dollar. EM assets, including FX, could suffer.

Second, commodity price dynamics also matter for the BRL. Prices had been moving sideways but were hit recently by the risk of global recession. Lower commodity prices may prevent Latam currencies to strengthen.

Risks are also on the domestic side: (i) current account deficit has widened due to strong domestic demand; (ii) FX inflows have turned negative in recent months; and (iii) fiscal risk remains palpable on the back of recent government measures and the nearing of presidential elections.

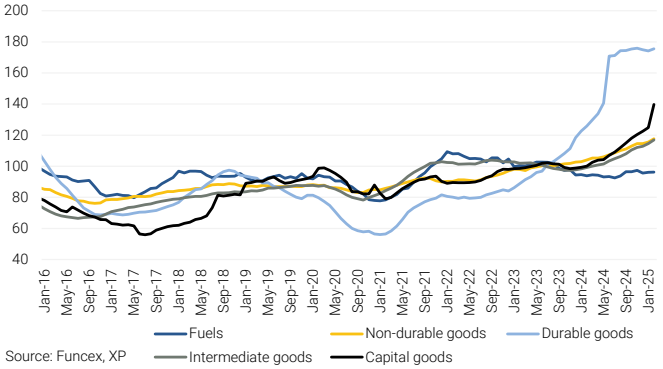
For 2026, we forecast an exchange rate of BRL 6.20 per dollar, in line with inflation differentials.

Lower trade surplus. In February, we saw a deterioration in Brazil's current account compared to the deficit recorded in the same month last year (USD 8.8 billion vs USD 3.9 billion). This widening gap is largely explained by a weaker trade balance so far this year. While a record grain harvest is expected to support exports, imports grew above expectations in the first quarter. In addition, recently announced demand-side stimulus measures (see 'Activity' section) pose upside risks to imports starting mid-year. **As a result, we revised our 2025 trade surplus projection from USD 73.0 billion to USD 62.0 billion.**

For Brazil, the outcome of the "Liberation Day" was better than feared. Indeed, Brazilian exports to the US are expected to decline in absolute terms, as some of the products currently shipped may be replaced by US-produced alternatives, but the overall macroeconomic impact should be limited (see our report "An X-ray on Brazil-U.S. Trade Relationship"). In our initial view, the indirect effect for Brazil from a trade war – since countries should retaliate – could be positive. Brazil received the minimum tariff rate, which could avoid some "substitution effect" that would arise if it were taxed more heavily than competitors. Regions like China and the European Union, among others, were subject to higher tariffs, which could lead to trade diversion in Brazil's favor over time. However, if the global impact proves to be negative, it will weigh on Brazil, since shifts in economic activity in the US, China, and the European Union may ripple through global markets.

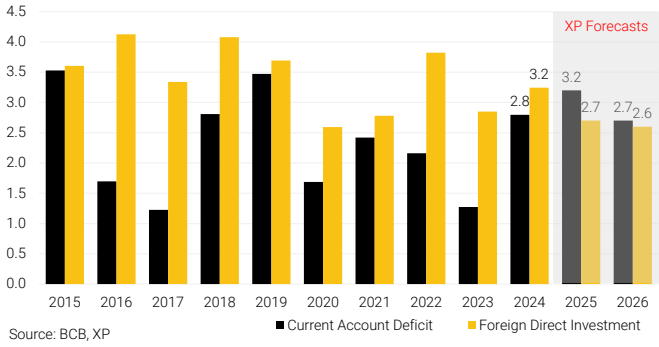
Current account deficit may exceed FDI inflows for 2025, the first time since 2014. We revised our current account deficit forecast for 2025 from USD 62.6 billion to USD 70.1 billion (3.2% of GDP). Consequently, the current account deficit is expected to exceed foreign direct investment (FDI) inflows this year – which we now estimate at USD 60.0 billion (2.7% of GDP) in 2025 and USD 57.0 billion (2.6% of GDP) in 2026. That said, this deterioration is not a source of significant concern

Imports still strong in Q1 2025
Seasonally adjusted series. 12MMA. Base 100 = 2023.



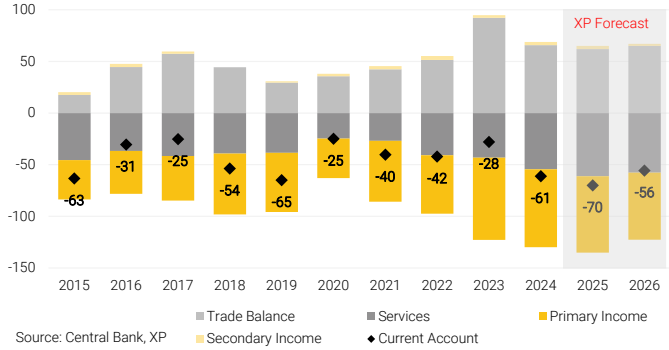
Source: Funcex, XP

The current account deficit may surpass the FDI inflows this year for first time since 2014
(% of GDP)



Source: BCB, XP

Current account balance is expected to recover from 2026 onwards
USD Bn

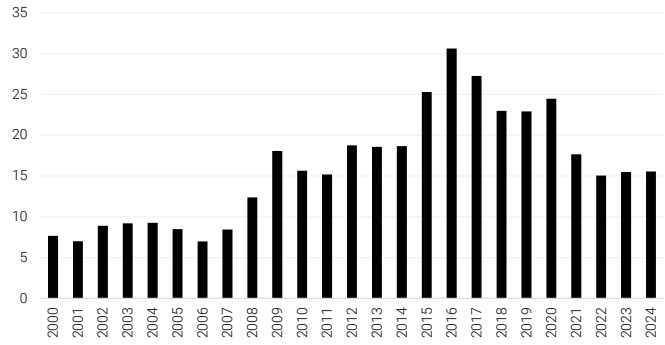


Source: Central Bank, XP

for now: Brazil still benefits from a reasonable level of international reserves and low foreign currency debt.

For 2026, we do not anticipate further deterioration in the current account. We project the current account deficit to slightly narrow to USD 54.0 billion (2.4% of GDP) in 2026, as a result of softer domestic demand growth.

Brazil has healthy international reserves
International reserves (in months of imports)



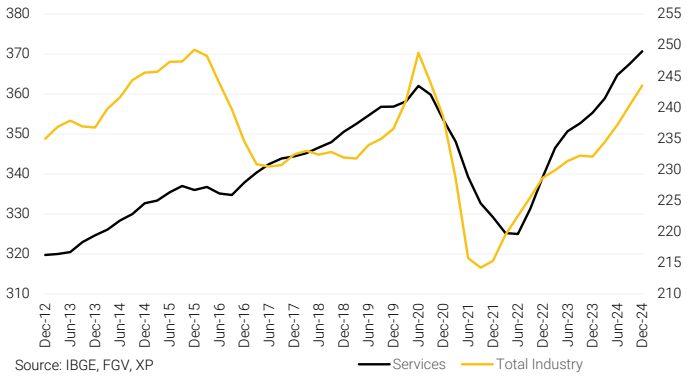
Source: BCB, XP

Inflation – Persistent Inflationary Pressures

Alexandre Maluf

Inflation remained hot at the beginning of the year. The IPCA-15 for March grew below expectations (0.64% MoM), with surprises concentrated especially in industrialized goods. However, the breakdown showed a poor composition. The core services gauge, which excludes more volatile items, remained around 8% in the 3-MSAAR metric. The average of core measures (which aim to capture the underlying inflation trend) accelerated to 5.9% in the same metric, the highest level since April 2023. Finally, it is worth noting that the inflation accumulated in the first quarter stood at 1.99%, above the 1.46% recorded in 2024.

Unit labor cost remained on upward trend in Q424, with no signs of relief in the short term
BRL (december 24). Seasonally adjusted.

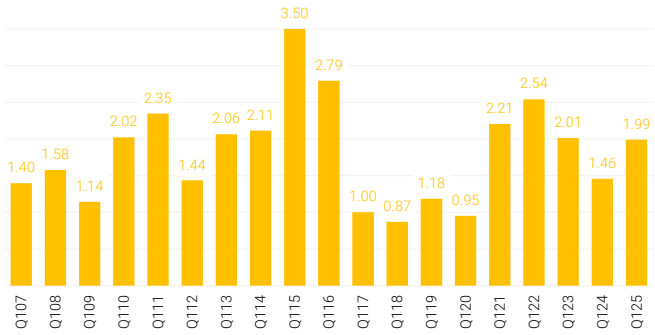


Source: IBGE, FGV, XP

Service inflation shows no signs of inflection in the short term. We continue to project an acceleration in service inflation throughout the year, even in the face of some cooling in economic activity. The labor market has continued to show dynamism above expectations at the beginning of the year, with February data posting strength in formal job creation and wage growth. This tends to pressure costs for companies, which are partially or fully passed on to consumer prices. On this topic, please see note Unit Labor Cost (ULC) - where we show the continued upward trajectory in labor costs in Q4 2024, with no signs of relief in the short term.

Goods inflation moderates at the beginning of 2025 due to stronger BRL. A significant part of the strong exchange rate depreciation seen last year has already passed through IPCA. However, we still see room for goods inflation to accelerate throughout the second quarter, as wholesale price indices (IPAs) remain pressured (the Central Bank revealed a similar view in the Q1 Monetary Policy Report). However, the recent currency appreciation has proven to be more persistent than our baseline scenario anticipated, which will lead to more moderate increases in inflation for this group in the second half. That said, we reduced our projection for the industrial group from 4.7% to 4.3%. Regarding food at home prices, we adjusted it from 8.6% last month to 8.3% this one.

1st quarter inflation suggests IPCA around de 6% in 2025
3M accumulated (%)



Source: IBGE, XP

Higher electricity prices due to weather conditions. Given the less favorable hydrological conditions, we now consider the yellow flag for electricity tariffs in December, which implies an impact of 0.1 p.p. on the 2025 IPCA. We have adopted the following assumptions for the year: yellow flag in May; red flag 1 in June; red flag 2 between July and September; red flag 1 in

October; yellow in November and December. Finally, we expect a yellow flag in 2026, not changing our forecast (by this component). For 2026, we consider a yellow flag for December, without altering our projection for the year.

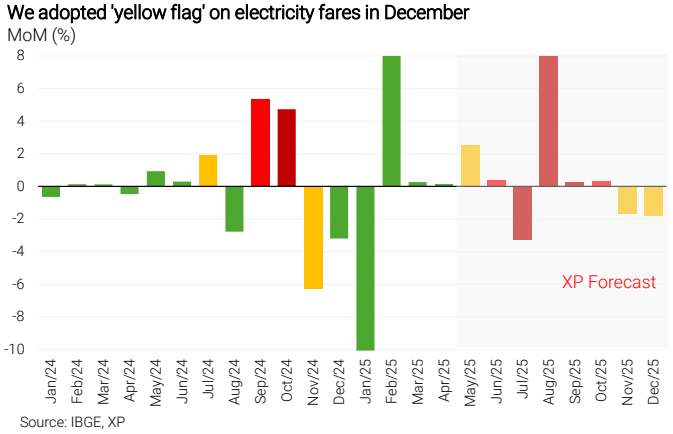
Petrobras reduced diesel prices. Still regarding monitored prices, Petrobras announced a 4.7% decrease in diesel prices at distributors. Although the direct impact on the IPCA is mild, the secondary effects are significant. In the case of gasoline, we see its prices in line with international parity, so we do not expect any further adjustments for 2025.

The lower industrial goods inflation was offset by the yellow flag for electricity tariffs. Moreover, the revision we made for GDP this year (see 'Activity' section) was offset by lower-than-expected IPCA readings in Q1.

All in all, **we kept our 2025 IPCA forecast at 6.0%,** with a downside risk if the BRL remains stronger than we expect (see 'External Accounts' section).

For 2026, we raised our IPCA projection from 4.5% to 4.7%, after incorporating income tax reform likely impacts. Given the hypothesis adopted for economic activity regarding the income tax reform, our models suggest an impact of 0.2 p.p. on the IPCA next year. Thus, we raised our projection for 2026 IPCA from 4.5% to 4.7%.

We adopted 'yellow flag' on electricity fares in December



Source: IBGE, XP

IPCA Groups — 12M (%)

	2022	2023	2024	2025 (F)	2026 (F)
Monitored prices	-3.8	9.1	4.7	5.4	4.7
Market-set prices	9.3	3.1	4.9	6.2	4.7
Food at home	13.2	-0.5	8.2	8.3	5.4
Industrials	9.6	1.1	2.9	4.3	4.2
Services	7.6	6.2	4.8	6.5	4.7
IPCA headline	**5.8**	**4.6**	**4.8**	**6.0**	**4.7**

Source: IBGE, XP

Monetary Policy – Uphill

Caio Megale

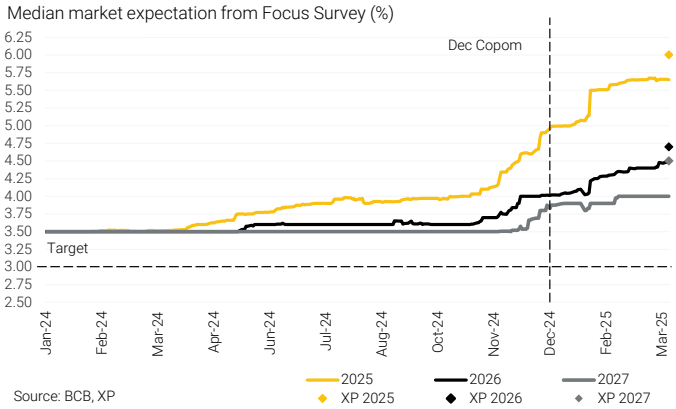
The Brazilian Central Bank monetary policy committee (Copom) has been reacting firmly to inflation challenges. In March, it delivered the third and final installment of the 300-bp adjustment pre-committed in its December meeting, taking the Selic rate to 14.25%. The movement, when announced, was much bolder than market expectations.

Nonetheless, inflation expectations remain above target for the short and medium term. One of the reasons lies in recently announced fiscal and credit measures – which tend to (partially) offset the effects of tight monetary policy. Indeed, we have just raised our growth and IPCA forecasts. Our 2026 IPCA forecast is now above the upper limit of the target range.

Thus, the Copom should keep tightening monetary policy. We see the terminal Selic rate at 15.50%, with 75-bp and 50-bp hikes in May and June. If economic activity decelerates more than we anticipate, they may opt for a slower pace in May (50-bp hike). But we see a terminal Selic rate below 15.00% as an unlikely outcome.

A "wait-and-see" period is coming. The committee highlighted "the lags inherent to the ongoing monetary cycle". In our view,

Inflation expectations did not improve after Copom's hawkish Dec decision



Source: BCB, XP

it means that after reaching the 15.00-15.50% interval, Copom will wait to assess the effects of the adjustment already implemented on activity and inflation over time.

Easing in 2026. By mid-next year, inflation forecasts for 2027 (the relevant horizon by then) will probably be closer to the target. At that moment, we believe the Copom should find room to start a gradual easing cycle. We see the Selic rate at 12.50% by the end of next year.

This scenario, naturally, is **heavily dependent on the fiscal policy** signaled by the favorite presidential candidates during the election campaign.

XP Forecasts

	2018	2019	2020	2021	2022	2023	2024	2025 (F)	2026 (F)
GDP growth (%)	1.8	1.2	-3.3	4.8	3.0	3.2	3.4	2.3	1.5
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.3	7.6	6.5	7.0	7.5
IPCA (CPI, %)	3.8	4.3	4.5	10.1	5.8	4.6	4.8	6.0	4.7
SELIC rate (% p.a., end of period)	6.50	4.50	2.00	9.25	13.75	11.75	12.3	15.50	12.50
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.28	4.86	6.2	6.00	6.20
Central government primary balance (% GDP)	-1.7	-1.2	-9.8	-0.4	0.5	-2.4	-0.4	-0.6	-0.9
Primary balance for target calculation (% GDP)*	--	–	–	–	–	–	-0.1	-0.3	-0.6
Public sector primary balance (% GDP)	-1.5	-0.8	-9.2	0.7	1.2	-2.3	-0.4	-0.5	-0.8
Public sector nominal balance (% GDP)	7.0	5.8	13.3	4.3	4.6	8.8	8.5	9.3	8.5
General government gross debt (% GDP)	75.3	74.4	86.9	77.3	71.7	73.8	76.5	79.7	83.7
Net public sector debt (% GDP)	52.8	54.7	61.4	55.1	56.1	60.4	61.5	64.7	68.3
Trade Balance (USD Bn)	46.6	29.6	35.7	42.3	51.5	92.3	65.8	62.0	73.0
Exports (USD Bn)	231.9	225.8	210.7	284.0	340.2	343.8	339.9	350.0	363.0
Imports (USD Bn)	185.3	196.2	175.0	241.7	288.7	251.5	274.0	288.0	290.0
Current Account (USD Bn)	-54.8	-65.0	-24.9	-40.4	-42.2	-27.9	-61.2	-70.1	-54.0
Current Account (% GDP)	-2.9	-3.5	-1.7	-2.4	-2.2	-1.3	-2.8	-3.2	-2.4
FDI (USD Bn)	78.2	69.2	38.3	46.4	74.6	62.4	71.1	60.0	57.0
FDI (% GDP)	4.1	3.7	2.6	2.8	3.8	2.9	3.2	2.7	2.6
Nominal GDP (USD Bn)	1915.00	1,873	1,475	1,670	1,951	2,190	2,178	2,185	2,210
Nominal GDP (BRL Bn)	7004.00	7,389	7,610	9,012	10,080	10,943	11,745	12,675	13,470

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

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